

Question 1.

Certificate of deposit (CDs) can be easily bought from a bank or financial institution. On the other hand, risk free and risky bonds can be bought with a brokerage account or directly through banks or government. To buy stocks one needs to have a brokerage account they are also traded on exchange in Primary and secondary market.

I would likely buy CDs as they can be bought through banks while setting up a bank account is not very complex. Also, they have very low risk as they are backed by depository insurance.

As for the other securities, one would likely need a brokerage account. One complexity is it takes more steps to set up brokerage account. Another reason to not choose, these securities(risk free bond, risky bond and stocks), is that though risk free bonds are backed by government but there is reinvestment risk and inflation risk. In risky bonds there is default, reinvestment and inflation risk and in stocks there is no guarantee of dividend payments and they are more volatile.

Question 2.

Stocks are likely to be most volatile as compared to CDs, risk free and risky bonds. One of the reasons for volatility is news and how it's perceived by different stock holders. Another reason is earning reports stock price fluctuates based on company's performance and earnings report.

As for other securities, such as CDs, they are less volatile as they are backed by depository insurance and government which make them stable. Another reason for stability is guaranteed return of the investment.

Risk free bonds are also low volatile, as they are also backed by federal government. Also, the risk of defaults is very low. Their value remains stable for shorter period of time.

Risky bonds are moderately volatile, as their value may changes based on the performance of the bond issuer credit risk. Also, these are less reactive to market sentiment which make them less volatile.

Question 3.

Stocks are likely to provide high returns as compared to other mentioned securities. Two main reasons for high return is capital appreciation and dividend. As the company performs better overtime, the stock price is likely to go up resulting in invested capital going up and chance of getting the dividend also goes up. In our case as it giving 2-4% dividend, that basically adds up to total returns including capital appreciation.

CDs and risk free bond are have low default rate and credit risk, but the interest rate is minimal and fixed. Also, in CDs and risk free bonds the returns doesn't changes based on the company's performance. Unlike stocks there is no capital appreciation in CDs which results in lower gains as compared to stocks.

Risky bonds are offering higher returns, but the credit risk is much higher. Again, the interests rate is predetermined and fixed and there is no benefit from capital appreciation and dividend payments.

Question 4.

Stocks are traded on exchanges like NYSE, BSE, providing a platform for investors to buy and sell easily with high liquidity. Also the credit risk is eliminated when the securities is trading on public exchange.

CDs are issued by banks and financial institutions and are typically held in banks until the term to maturity. They are not traded on exchange. Also, there is not secondary market available which facilitates the trading of CDs.

Risk free bonds are issued by treasury and governments and can be traded in secondary market but unlike stocks they are not publicly traded on exchange. Risk free bonds are traded on OTC (over the counter), but these are not centralised market.

Risky bonds are also traded on OTC, rather than a centralised marketplace as exchange. This makes them less accessible to all type of investors specially retail. Also, there is less transparency, credit risk and efficiency as compared to exchange. Another, reason is they are less liquid as compared to stocks.

Question 5.

The credit risk associated with exchange traded market is mainly market risk and inflation in stocks and default, reinvestment and inflation risk in bonds. Though the exchange tries to minimize these risk but there might be some cases where it may be there.

Market Risk - Exchanges makes sure that you have sufficient finance available before you trade in a security. Due, to market fluctuations if the market moves in the opposite direction as you had invested in exchange ask you for additional financing to minimize the credit risk.

Default Risk - In case of corporate bonds which are traded on exchange. If the issuing company faces some economic or financial turmoil, then the chances of default increases. Which leads to default coupon payments and increase the credit risk for bond holders.

Inflation Risk - Due, to inflation rate being more than the capital gained (interest rate for bonds/ CDs,) and dividend for stocks, invested capital might be less worth than expected.

Question 5

Call and Put can be used to minimize the risk by using strategies such as hedging, speculation and arbitrage.

Hedging

In hedging, investors can buy the underlying security and hedge that by buying options for the same security. For example, if investor is bullish on a stock then he can buy that and at the same time he can buy a put at the lower strike price than the spot to reduce the risk incase stock goes down.

Speculation

In speculation, the investor can take different positions on options (long/short). For example, he/she can long call or long put at the same strike and same expiration date (straddle) or different strike but same expiration date(strangle). Or they can go long and short on the same security at different strike prices (this is spread).

Arbitrage

In arbitrage, one can use options to minimize risk by trading different securities such as trading stock, bonds and options of the same security while looking for price inefficiency at the same time .

Call and Put options can be used to mitigate risk through hedging, speculation, and arbitrage.

Hedging

Hedging allows investors to purchase the underlying investment and then hedge it by purchasing options on the same security. For example, if an investor is optimistic on a company, he can buy it while also purchasing a put with a lower strike price than the spot price to mitigate risk if the stock falls.

Speculation

In speculation, the investor might take multiple options positions (long/short). They can, for instance, take long call or long put at the same strike and expiration date (called straddle) or at a different strike and expiration date (called strangle). Alternatively, they can go long and short on the same security at different strike prices (called spread).

Arbitrage

In arbitrage, one can use options to minimise risk by trading different securities, such as stock, bonds, and options of the same security, while seeking for price inefficiencies at the same time.